Search Effort, Worker Attachment, and Labor Market Competition

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Abstract

This paper studies how search frictions and heterogeneous preferences over jobs jointly shape labor supply to firms. Using a nationally representative survey linked to Swedish employer–employee records, I show that on-the-job search declines along the job ladder but remains substantial at top-ranked firms, where nonpecuniary motives predominate. Search is persistent and concentrated among a small group of workers. Guided by these facts, I estimate a dynamic model in which workers choose whether to incur a fixed cost of search, and preferences over jobs evolve over time. Higher pay retains workers both by reducing their willingness to accept competing offers and by lowering their exposure to those offers through reduced search effort. Allowing search to adjust raises the firm's labor supply elasticity from 3.66 to 4.98, an increase of 36 percent. Search responses are concentrated among workers near the search threshold, whose matches remain relatively fragile. Accounting for heterogeneity in offer acceptance and match duration makes the contribution of search 44 percent smaller than implied by the average search response. Relative to a model with exogenous offer arrival, endogenous search lowers the implied markdown from 27 to 20 percent of pay.

Abstract only. The full working paper will be posted at this URL when available.

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